

zebra-lion metaphor. After the second quarter of 1974, I wrote my shareholders: "Unless an investor believes that 'the end of the world' is coming soon, one should be eager to own stocks at today's low prices." We were just three months from the bottom. A good call, no doubt a lucky call. I don't believe in timing. I do believe in buying what's cheap.

Bear markets are great times to load up on stocks. I don't believe in timing. I do believe in buying what's cheap.

The second lesson I took away from the seventies is that even in bad times for the economy, the real recessions, you can find opportunities if you think about things hard enough. The oil embargo slammed the economy, but it made looking for oil and gas far more profitable. When the price of oil went from \$3 a barrel to \$9 a barrel, energy company profits took off. We saw a theme staring at us. We invested heavily in crude oil and natural gas producers Houston Oil—which, as we've already seen, proved one of my all-time biggest winners—Ranger Oil, and Pan Ocean, and drilling contractors Rowan and Dearborn-Storm. What's more, to exploit the drive to expand alternative energy sources, especially coal, we bought Riley and Mine Safety Appliances. At the end of the third quarter of 1973, these seven stocks accounted for a third of the Acorn portfolio, and they made a lot of money for us.

Which brings up another point. Market timers usually say their big service to mankind is to keep investors on the sidelines, smug and happy, in nasty bear markets. They love to dwell on bear markets. They relish, for example, pointing to the fact that the Dow touched 1000 in 1966 and didn't rise above it for good until late 1982. That sounds as though investors made no money for sixteen